

FIU Guidance: Financial Sanctions Reporting August 2026

Isle of Man
Financial Intelligence Unit
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Sanctions Reporting Guidance August 2026

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Introduction

The FIU is the competent authority responsible for the receipt, analysis and, where appropriate, dissemination of reports relating to financial sanctions. This responsibility covers both reports of suspected breaches/attempted transactions and reports of assets frozen under sanction designations.

The FIU constantly reviews the reporting system to identify areas for improvement or clarification, which has previously led to updates to the FIU SAR Guidance documents and changes to reporting legislation options in Themis to assist reporting under the correct pathways. Following a recent review, the decision has been made to create a dedicated pathway for reporting frozen assets via Themis as well as to issue this accompanying guidance specifically covering financial sanctions reporting.

Financial Sanctions

Sanctions are prohibitions and restrictions put in place with the aim of maintaining or restoring international peace and security. They generally target specific individuals or entities, or particular sectors, industries or interests. They may be aimed at such people and things in a particular country or territory, or some organisation or element within them.

The Isle of Man implements all United Nations ('UN') and UK sanctions regimes (made under the UK Sanctions and Anti-Money Laundering Act 2018).

All UN and UK sanctions designations are immediately effective in the Isle of Man. This means any changes to UK/UN regimes apply to the Isle of Man as soon as they are made.

The Isle of Man also has the power to make sanctions designations.

Further information and links to relevant **sanctions lists** can be found on the Customs and Immigration Sanctions Lists Webpage: https://www.gov.im/categories/tax-vat-and-your-money/sanctions-and-export-control/sanctions-lists/

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Financial Sanctions Reporting via Themis

Reporting Obligations under Sanctions Legislation

There are three scenarios where you are required to make a report to the FIU under sanctions legislation:

- Where you have frozen assets in line with a designation.
- Where you suspect a sanctions breach has occurred.
- Where a transaction has been attempted relating to a sanctioned individual or group.

These are in addition to, and do not replace, reporting obligations under other legislation including the Proceeds of Crime Act 2008, Anti-Terrorism and Crime Act 2003 and the Financial Intelligence Unit Act 2016.

All persons in business or a profession in the Island, including financial institutions, must check whether they maintain any account, or otherwise hold or control funds or economic resources, for individuals or entities named in the sanctions lists having effect in the Island.

If, whilst undertaking your business, you identify a possible match to an entity designated within the sanctions lists, you must:

- **Immediately freeze any assets** you hold or otherwise deal with belonging to that person (assets includes funds and economic resources, owned directly or indirectly by that person).
- Review the information you hold for that person against the Sanctions Lists to establish whether you have a true match or a "false positive".
- Where a true match is confirmed, do not deal with those assets or make them available to, or for the benefit of the designated person unless you have a legal exemption or licence to do so.
- **Report the frozen assets to the FIU** (this is a legal requirement for a "relevant firm").

If you are a relevant firm and you have a suspicion or knowledge that there has been a breach of sanctions law or have blocked any attempted transactions relating to a sanctioned individual or group, you **must** report your suspicions to the FIU as soon as practicable.

The definition of "relevant firm" can be found on the Sanctions Reporting page.

Failure to comply with reporting obligations is a criminal offence, which may result in a criminal prosecution.

Reporting via Themis

Reports in relation to financial sanctions should be made to the FIU via the Themis Reporting System. If you are not registered on Themis, please email fiu@gov.im in the first instance, or contact the FIU on +44 1624 686000.

Themis reports should be made via one of the following three mechanisms:

Legislation Option	When to Use
IOM/UK/UN Sanctions Breach (or Attempted Breach)	Where you know or suspect a breach of IOM/UK/UN sanctions has occurred or been attempted.
Sanctions – Frozen Assets	To inform the FIU of assets frozen in relation to a sanctions designation.
POCA/ATCA/S24	For reports relating to other non-IOM/UK/UN sanctions regimes including OFAC and international national level designations.

Financial Sanctions Breach Reporting: Suspected/Attempted/Actual

Where you suspect that a breach of financial sanctions has occurred or been attempted, you must make a report to the FIU using the "IOM/UK/UN Sanctions Breach (or Attempted Breach)" Legislation option within Themis. It is important to note that **ONLY** breaches or attempted breaches of **UK/IOM/UN** sanctions should be reported to the FIU under this option.

When reporting a confirmed, suspected or attempted breach, you should provide the FIU with the following:

- Details of the relevant sanction designation, including the origin (UK, IOM or UN).
- A clear outline the activity or attempted activity that you suspect to be a breach or attempted breach.
- Any information or documentation that has led to the formation of your suspicion.
- Any information you hold that can confirm the identity of the subject, such as dates of birth or ID documents, to assist in confirming the sanctions match.

It is not possible to request consent to do a prohibited act, or for the FIU to provide a defence against money laundering, under a Financial Sanctions Breach disclosure.

Example - Declined Business

Where you have taken the decision to decline new business on the basis that you suspect that the business was intended to facilitate an IOM/UK/UN sanctioned individual or entity, you should make a report to the FIU under the "IOM/UK/UN Sanctions Breach (or Attempted Breach)" legislation option, as this represents a potential suspected breach.

Where you decline the business solely for other reasons, such as commercial viability or risk appetite, you may wish to still make a report under Section 24, however you should not submit a Sanctions Breach Report.

Where you take the decision to decline business on the basis that you suspect that the business was intended to facilitate an individual or entity sanctioned by another sanctions regime, such as OFAC or EU sanctions, you should make a report to the FIU under Section 24., POCA or ATCA as you deem appropriate.

Example – Historic Accounts Linked to a Newly Sanctioned Individual

Where you identify through either automatic alerts or manual review a link between an account and a recently IOM/UK/UN sanctioned individual, it is important to assess activity on the account when deciding how to make a report to the FIU. If all activity on the account predates the sanctions designation, you should not report using the Sanctions Breach option.

If the account holds any funds or value, this should be immediately frozen and reported using the "Sanctions – Frozen Assets" option.

If no funds are held, but the account is still active, the account should be blocked and reported using the "Sanctions – Frozen Assets" option.

If the account is completely historic and no longer active, there is no obligation to report, but you may wish to submit a report under Section 24 for information only.

Reporting Frozen Assets

Where you have identified that you hold a relationship with a person designated under IOM/UK/UN sanctions and have taken the required steps to freeze any assets held, you must make a report to the FIU to notify them as soon as practicable. From August 2026, reports of frozen assets should be made using the "Sanctions- Frozen Assets" legislation option in Themis; this replaces previous guidance to report under Section 24.

When reporting frozen assets to the FIU, the following information must be included:

- Details of the relevant sanctions designation (including which regime it refers to).
- Date assets were identified.
- Date and time assets were frozen.
- Screening type that identified the assets (automatic or manual).
- Value and type of the funds or economic resources.
- Details of any accounts held (e.g. account numbers, policy references, currency etc.).
- Where funds or economic resources are located.
- Ownership and control structures if applicable.
- Whether you are subscribed to the Sanctions and Export Control RSS Feed.

It is not possible to request consent to do a prohibited act, or for the FIU to provide a defence against money laundering, under a Frozen Assets disclosure.

Example – Frozen Assets Report

Legislation: Sanctions – Asset Freeze

Grounds for Suspicion: IOM/UK/UN Sanctions

Relevant Sanctions Regime – The Russia (Sanctions) (EU Exit) Regulations 2019

On 01/01/2026 Mr X (DOB 01/01/1980) was sanctioned by the UK under the Russia (Sanctions) (EU Exit) Regulations 2019.

We identified Mr X holds the below life insurance policy via automated sanctions alert at 1:30pm on 01/01/2026. The policy was frozen with effect from 2:30pm the same day.

Policyholder name: Mr X

Policy Number: 123456

Value as at 01/01/2026: £1,234,567

The policy is held directly on the IOM with XX Life Ltd.

A copy of Mr X's ID as well as other relevant onboarding documentation is supplied attached to this report. The full name and date of birth are an exact match for the sanctioned individual.

I can confirm that XX Life Ltd is subscribed to the Sanctions and Export Control RSS Feed.

Example – Requesting to Make Payments from Frozen Assets

It is feasible that there may be a need to make routine or one-off payments from frozen funds for asset maintenance or day-to-day living expenses.

Where funds are frozen in line with a sanctions designation, **the FIU cannot provide consent to undertake a transaction**. To move frozen funds, a relevant licence must be sought from Customs and Immigration.

Where you have obtained a relevant licence and made payments from frozen funds, it is helpful if you update the FIU by providing details of the payment and the new balance of the frozen account via the further information tab on the original frozen asset report in Themis.

Reporting Related to Non-IOM/UK/UN Financial Sanctions

For suspicions of breaches of non-IOM/UK/UN sanctions, (including US and EU sanctions regimes), where there is no suspicion of terrorist financing or money laundering, disclosures should be submitted under section 24 of the FIU Act. If there is suspicion of terrorist financing or money laundering, the SAR should be reported under ATCA or POCA, as relevant.

When making reports relating to other sanctions regimes under POCA/ATCA or S24, the Grounds for Suspicion should be set to "Sanctions – Other (OFAC etc)" to highlight the sanctions connection to the FIU. You should also provide details of the relevant sanctions designation and its origin (e.g. OFAC) clearly within the report.

Where you have identified that you hold a relationship with a person designated under a different sanctions regime (e.g. US Treasury (OFAC), EU, other jurisdiction), there is no legal requirement to report to FIU; however, we request that you provide this information under Section 24 to assist the authorities with their functions.

Example – Frozen Assets Following OFAC Designation

Whilst OFAC sanctions do not have effect in the IOM, you may as a business take the decision to freeze assets in line with OFAC designations due to external obligations. Such asset freezes should not be reported under the "Sanctions – Asset Freeze" option. You may wish to make a report under Section 24 to assist authorities in their functions and make them aware.

Example – Suspected Link Between Account/ Policy and Non-IOM National Sanctions Regime

Where you identify a link between a customer or client and a national sanctions designation in another jurisdiction, you should make a report under Section 24 or POCA/ATCA as appropriate. Even if you suspect a breach on non-IOM national sanctions designations, you should not use the Sanctions legislation reporting options, as these apply to IOM/UK/UN designations only.

Further Guidance and Contacts

Please contact the FIU on +44 (0) 1624 686000 before submitting a sanctions related SAR if you require additional guidance in relation to sanctions reporting.

Customs and Immigration retain responsibility for investigating suspected breaches and granting licences. Any queries regarding sanctions (other than queries in relation to submitting a sanctions related SAR) should be directed to the Sanctions Officer at Customs and Immigration on +44 (0) 1624 648109.

For further guidance on SAR reporting to the FIU please refer to the following:

- FIU SAR Guidance
- FIU SAR Good Practice
- FIU Guidance – Suspicion

For more guidance on Sanctions please refer to the following:

- Sanctions Lists Webpage
- Customs and Immigration Sanctions Guidance
- Customs and Immigration Sanctions FAQ
- Financial Sanctions Reporting Website
- FIU Sanctions and Trade-Based Money Laundering Typology